Banglong Fu

School of Economics, Peking University
fbl@pku.edu.cn

Research Interests

Financial econometrics; factor models; latent group structures; asset pricing.

Education

Peking University, School of Economics Sep. 2022 – Present

Ph.D. student in Finance Expected completion: June 2027
Supervisors: Fa Wang and Yiming Wang

Peking University, School of Economics Sep. 2018 – June 2022

B.A. in Finance
Undergraduate thesis: *CCTV News Implied Volatility*. Supervisor: Xi Wang.

Research Papers

Regime Switching Conditional Factor Models
Banglong Fu, Fa Wang, and Yiming Wang.
Revised and resubmitted to *Journal of Business & Economic Statistics*.
Presented at the 18th Annual Society for Financial Econometrics (SoFiE) Conference, 2026.
Received the Outstanding Paper Award at the National Academic Forum for Doctoral Students in Quantitative Economics, 2026.

- Develops a regime-switching extension of the Instrumented PCA model to capture abrupt changes in the risk exposures and the prices of risk.
- Uses an EM algorithm for maximum quasi-likelihood estimation at the managed-portfolio level; establishes consistent regime identification and asymptotic properties under an approximate factor model.
- In U.S. equity returns, estimated regimes align with business cycles, and the model improves out-of-sample predictive performance relative to IPCA and its autoencoder extension.

Recovering Weak Factors in Latent Groups
Banglong Fu, Fa Wang, and Yiming Wang. Work in progress.

From Static-Observable to Dynamic-Latent: A Paradigm Shift in Chinese Corporate Bond Pricing Based on IPCA
Banglong Fu, Fa Wang, and Yiming Wang. In Chinese.

- Applies IPCA to Chinese corporate bond excess returns, improving in-sample explanatory power and out-of-sample prediction relative to conventional observable-factor models.
- Proposes a threshold method for consistent estimation of the number of latent factors and an SVD-based algorithm to improve numerical stability when testing for zero pricing errors.

Teaching Experience

Teaching Assistant, Peking University

Machine Learning and Asset Pricing Fall 2024; Fall 2025
Joint undergraduate and graduate course, first offered by the School of Economics in Fall 2024.

- Developed instructional programming examples in Python and PyTorch.

Time Series Analysis Spring 2025
Graduate course, School of Economics.

Industry Experience

Huatai Securities, Research Institute Nov. 2021 – Dec. 2021

Intern

- Developed and backtested ETF allocation strategies for fund-of-funds investing using Python and characteristics of economic conditions, market crowding, and northbound capital flows.

China International Capital Corporation (CICC), Wealth Services Center July 2021 – Oct. 2021

Intern

- Supported the CICC Wealth Mutual Fund 50 by automating data cleaning, performance and risk analysis, and periodic investment reporting in Python.